Article | 15 May 2026

THINK Ahead: Politics meets the bond market (again...)

Not for the first time, it s Britain leading the way in what has been a grim week for the global bond market. Political drama is back, interest rate expectations are rising. But for all the noise, James Smith argues there are limits on how much politics is likely to drive central banks this year. Read on as he and the team look ahead to another busy week in markets

The UK's Mayor of Manchester Andy Burnham has his sights set on Downing Street

Politics meets the bond market (again...)

Let's face it: nobody does political drama quite like Britain. In a competitive field of big global stories – a global energy crisis, a meeting of two superpowers – the limelight has still somehow found its way back to London.

In case you're struggling to keep up (and who can blame you), the ruling Labour Party is in the midst of a leadership struggle. Prime Minister Keir Starmer, though still in office, is under existential pressure after poor local election results. A leadership contest looks increasingly inevitable. And if you believe the betting markets, Manchester Mayor Andy Burnham is the man to beat.

All of this has unfolded against the backdrop of a grim week for global bond markets. The UK's 10-year yield rose by more than a quarter of a percentage point. But Britain is hardly alone. US yields are up around 20bp this week, while Germany's are higher by roughly 13bp.

That's an important reminder. For all the noise coming out of Westminster, it is still oil prices – and the outlook for global central banks – that are doing the heavy lifting for interest rates, both at the short and long end.

Of course, politics could matter more from here. There is certainly scope for gilt yields to rise further on domestic drama. But in practice, will politics really be a central driver of central bank decisions this year?

When it comes to Britain, I think it's important to keep things in proportion.

Yes, the political centre of gravity is likely to shift left. And yes, there is pressure to adapt the fiscal rules. But politicians across the spectrum are presumably acutely aware there are limits, with the shadow of the 2022 "mini-budget" crisis still hanging over Westminster.

Where leadership hopefuls are talking about higher borrowing, the emphasis is overwhelmingly on investment – particularly capital-intensive areas such as defence and social housing. In practice, we suspect any additional borrowing, if it materialises, is unlikely to exceed £15–20bn per year.

That is not trivial. And investors would no doubt start to question the UK's longer-term commitment to fiscal restraint, particularly as we edge closer to what could be a challenging 2029 general election.

But that is not quite the question facing the Bank of England.

The Bank needs to judge whether a modest fiscal pivot of this kind would materially boost inflation over a two-year horizon. And if it's going to be centred on investment, it's worth recalling that Britain's recent track record of actually building things is... not great.

Private housebuilding is almost 20% below its pre-Covid level. Firms consistently cite planning constraints and regulation as key bottlenecks. Britain's infrastructure delivery record is no more inspiring.

That suggests any fiscal boost is unlikely to move the dial much for the Bank of England in the near term, particularly when you remember the next Budget isn't due until late Autumn. And with investment, there is always the counter-question of how much it lifts the supply side of the economy and productivity, offsetting any inflationary impulse.

If you want a cautionary tale, look at Germany. Optimism last spring around vast defence and infrastructure spending faded quickly as it became clear that this was not something that would happen overnight.

A year on, there are some signs of progress. Defence spending, for example, began to pick up late last year. Carsten Brzeski argues the impulse is now "real", with effects increasingly likely to show through this year and next – energy crisis notwithstanding.

Which brings us neatly back to energy.

When it comes to politics and its relationship with central banks, the far bigger question is whether governments across Europe are forced into much larger support packages than we have seen so far. The fuel tax cuts announced in various countries are small beer compared with the 2–3% of GDP packages rolled out in 2022. That, in no small part, was why central banks across Europe were forced into steep rate hikes four years ago.

Whether similar pressure builds again this time will depend, above all, on where energy prices go next. You can find our scenarios in the latest ING Monthly, or listen back to Warren Patterson walking through his outlook in our recent webinar.

Two points from that discussion stand out.

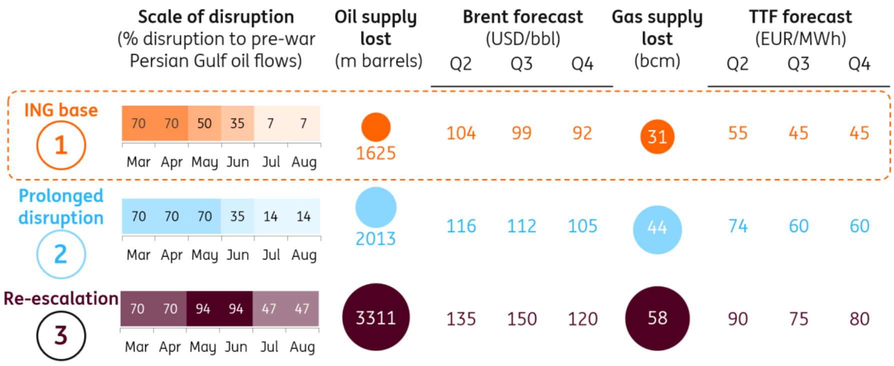
First, even if the war were to end tomorrow, energy prices may not fall as far as many expect. Significant drawdowns in oil inventories are likely to keep upward pressure on prices for some time yet.

Second, natural gas prices currently look too low. There is meaningful upside risk if disruptions persist into the third quarter, particularly as competition intensifies between Asian and European buyers for LNG.

It's a reminder that, for all the political noise, its energy prices will remain the dominant force for central banks. It's why we're expecting rate hikes from the Bank of England and European Central Bank in June, and why we no longer expect a Federal Reserve rate cut until December.

James Smith

Three scenarios for global energy markets



Source: ING

THINK Ahead in developed markets

United States (James Knightley)

- **Housing starts** (Thu): It is a quiet week for US data, with a focus on housing numbers. High prices and elevated mortgage rates are an obvious headwind that is hurting affordability and depressing activity. We will also have the FOMC minutes, which will underscore the hawkish shift seen in April when three members wanted more neutral language on where interest rates may head.

United Kingdom (James Smith)

- **Inflation** (Wed): Headline inflation is actually likely to dip in April's data, due next week. That might sound strange as energy prices surge. But the timing of Easter is set to temporarily push down on CPI. So too will the fact that many of last year's administrative/regulatory price hikes weren't repeated at the start of this financial year – or not to the same extent. We're also looking for signs that lower wage growth and greater economic slack results in more muted annual price hikes across the service sector. If we're right, that should make some Bank of England officials more relaxed about the risk of second-round effects from the current energy crisis.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industry** (Thu): Activity in industry is on a roller-coaster ride. Following subdued output in the first two months due to harsh weather, industry rebounded sharply in March. Still, the general trend is far from positive. Industry has been nearly stagnant in recent years and weak external demand along with mounting competitive pressure from China poses a challenge for some sectors. At the same time, the Middle East conflict and unfolding energy crisis imposed yet another layer of risks and uncertainty. We expect the recovery in manufacturing to lose momentum ahead, even if short-term performance might be boosted by stockpiling. Upward pressure from energy commodities probably lifted PPI from over two-year-long deflation.

- **Labour market** (Thu): Wage growth continues its downward trend as the situation normalises after double-digit growth in 2023-24. In April, the lower annual dynamic was also probably facilitated by a high reference base due to high growth in mining. Employment in enterprises continues shrinking at a pace nearing 1% year-on-year as declining labour supply is facing somewhat softer demand.

Hungary (Peter Virovacz)

- **Wages** (Wed): It is hard to imagine anything stealing the limelight from the political headlines in Hungary nowadays. However, the ongoing issue of high wage growth would certainly exacerbate the complicated situation of the National Bank of Hungary. Strong real wage growth and rising consumer confidence could increase pipeline price pressure on top of the energy price shock. Meanwhile, the movement of the forint towards territory that would prompt the central bank to consider a dovish pivot sooner than expected is adding spice to the situation.

Czech Republic (David Havrlant)

- **PPI** (Wed): Higher oil and natural gas prices continued to pass through to producer pricing, when annual price dynamics in industry likely switched to positive territory in April, following more than a year of annual declines. This will further foster pressures on consumer prices, where goods price gains quickened in April.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 18 May		
Italy	0900	Mar Global Trade Balance (EUR bn)	-	4.9
		Tuesday 19 May		
US	1330	May 2 ADP weekly employment change (000s)	20	33
	1500	Apr pending home sales (MoM%)	1.1	1.5
Eurozone	1000	Mar Total Trade Balance SA (EUR bn)	-	7
UK	0700	Mar ILO Unemployment Rate	4.9	4.9
	0700	Mar Employment Change (000s)	160	25
	0700	Mar Average Weekly Earnings (3M YoY%)	3.7	3.8
	0700	Mar Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.6
Canada	1330	Apr CPI (MoM%/YoY%)	0.8/3.3	0.9/2.4
	1330	Apr Core CPI (MoM%/YoY%)	-/-	0.2/2.5
Netherlands	0530	Mar Trade Balance (EUR bn)	-	9.9
		Wednesday 20 May		
US	1900	FOMC Minutes	-	-
Eurozone	1000	Apr CPI (YoY%)	-	2.2
UK	0700	Apr Core CPI (YoY%)	2.6	3.1
	0700	Apr CPI (MoM%/YoY%)	1.0/3.0	0.7/3.3
	0700	Apr Services CPI (YoY%)	3.4	4.5
		Thursday 21 May		
US	1330	Initial Jobless Claims (000s)	215	211
	1330	Apr Housing Starts (000s)	1410	1502
Eurozone	0900	Mar Current Account SA (EUR bn)	-	24.9
	0900	May HCOB Manufacturing PMI Flash	-	52.2
	0900	May HCOB Services PMI Flash	-	47.6
	0900	May HCOB Composite PMI Flash	-	48.8
	1500	May Consumer Confidence Flash	-	-20.6
Germany	0830	May HCOB Manufacturing PMI Flash	50.8	51.4
	0830	May HCOB Service PMI Flash	46	46.9
	0830	May HCOB Composite PMI Flash	47.8	48.4
France	0815	May HCOB Composite PMI Flash	-	47.6
UK	0930	May S&P Global Composite PMI Flash	-	52.6
	0930	May S&P Global Manufacturing PMI Flash	-	53.7
	0930	May S&P Global Services PMI Flash	-	52.7
Sweden	0700	Apr Unemployment Rate	-	9.7
		Friday 22 May		
US	1500	May Michigan Sentiment Final	48.2	48.2
Germany	0700	Q1 GDP Detailed (QoQ%/YoY%)	0.2/0.4	0.3/0.5
	0700	Jun GfK Consumer Sentiment	-35	-33.3
	0900	May Ifo Business Climate	83.8	84.4
	0900	May Ifo Current Conditions	84.5	85.4
	0900	May Ifo Expectations	83.1	83.3
UK	0700	Apr Retail Sales (MoM%/YoY%)	-/-	0.7/1.7
Canada	1330	Mar Retail Sales (MoM%)	-	0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 18 May		
Poland	1300	Apr Core Inflation (YoY%)	2.9	2.7
Romania	1100	Mar Current Account (EUR bn)	-	2.3
		Wednesday 20 May		
Hungary	0730	Mar Average Gross Wages (YoY%)	9.0	9.7
Czech Rep	800	Apr PPI (MoM%/YoY%)	1.0/0.7	1.5/-1.1
		Thursday 21 May		
Poland	0830	Apr Employment (YoY%)	-0.9	-0.9
	0830	Apr Wages (YoY%)	5.9	6.6
	0830	Apr Industrial Output (YoY%)	2.4	9.4
	0830	Apr PPI (YoY%)	0.2	-0.8
		Friday 22 May		
Turkey	0800	Apr Trade Balance (USD bn)	-8.5	-11.2

Source: Refinitiv, ING

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Peter Virovacz
Chief Economist, Hungary
peter.virovacz@ing.com

David Havrlant
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

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Article | 15 May 2026 FX RATES UNITED KINGDOM

UK asset markets starting to feel the heat

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up. 30-year UK gilt yields have risen to levels last seen in early 1998 and independent sterling weakness is really starting to come through. A long hot summer for UK politics warns of more to come

What's happening

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up.

To recap, this week's turmoil follows a very weak, but not totally unsurprising, set of local election results for Labour earlier this month. With Nigel Farage's Reform Party dominating the polls, and the Green Party increasingly dividing Labour's share of the vote, there's growing pressure on the party to change direction as it looks ahead to the next General Election in three years' time.

So far, formally at least, no leadership contest has been triggered. Keir Starmer remains both

Labour leader and prime minister. But it is only a matter of time.

Wes Streeting, until this week the Health Secretary, has resigned and is expected to stand, though it remains unclear whether he has support from the 81 Labour MPs required to trigger a contest. Comments from Streeting today suggest he has acknowledged a leadership battle will need to wait for the summer.

That's because Andy Burnham, Mayor of Manchester and favourite to become Labour leader, needs to be an MP in Westminster to be eligible to compete in a leadership contest. He has announced he'll be standing in Makerfield, a newly-vacated seat in the north of England, in a by-election that's likely to take place in the second half of June.

That in itself is no easy feat. Polls suggest that, in the absence of Burnham, Reform would win comfortably in Makerfield. Farage's party dominated the local elections in the area. Burnham will be banking on his local popularity to get him elected.

Assuming he does, that opens up a leadership contest that's likely to take place through the summer, with the results sewn up before the Labour Party conference in late September.

What gilt markets are watching

Until now, politics has not been the primary driver of gilt yields, which suggests there's still plenty of upside risk.

The Bank of England policy path has been lifted by higher oil prices over recent weeks. And we also have the Bank's Quantitative Tightening flooding the market with gilt supply at a pace of £70bn per year. Higher US Treasury yields, amidst very healthy US market sentiment, is spilling over to gilt yields, too.

But as of Friday, there are signs that political uncertainty is starting to fuel those Bank of England rate hike expectations, too. Two rate hikes are priced by November and a third by March 2027. And even more interestingly, markets are not pricing in subsequent rate cuts over a two- or three-year horizon. Perceptions of the neutral rate – the level neither expansionary nor restrictive for the economy – have been repriced higher.

That tells us investors are most focused on the impact a leadership contest might have on Britain's fiscal trajectory, gilt issuance over the next couple of years, and its interplay with inflation. Burnham has said there's a case for exempting defence spending from the main fiscal rules, implying higher borrowing. Other Labour figures have flirted with extending the timeline of when the fiscal rules need to be met – which again makes it easier to boost borrowing in the near-term.

The biggest risk here is that investors begin to question the UK's longer-term fiscal discipline. Gilt markets rely on foreign investors and any signs that fiscal dynamics risk turning unsustainable could quickly turn sentiment. We've already seen that the uncertainty around the Autumn Budget last November added a risk premium of around 25bp to 10Y gilts. Right now, we estimate the premium to be around 10bp, higher than a few weeks ago, but still less than around November's budget.

Until we get a better understanding around the fiscal path forward, political risk premium is likely to keep rising. A rise towards 5.30% is quite possible in the near term.

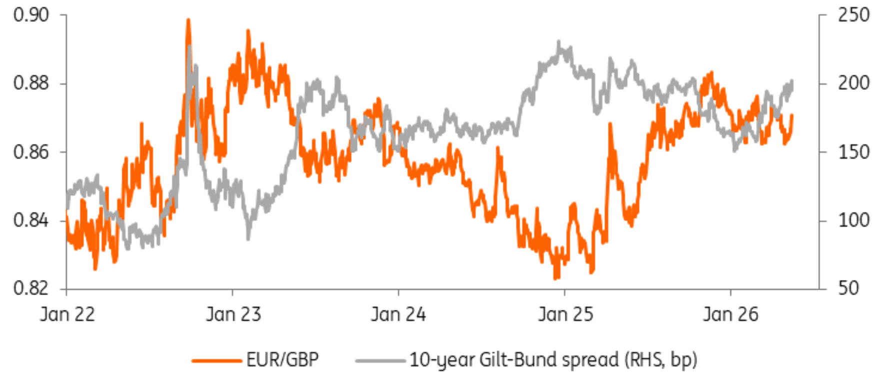
The reality might be different

With bond markets already under pressure, we suspect all leadership candidates will come until intense pressure to rule out big changes to the fiscal rules over the next few weeks. The memories of the 2022 mini-budget crisis haven't gone away.

We'd also note that fiscal changes are unlikely before the Autumn Budget. And until then, the Bank of England can only react to what is existing government policy. That suggests the leadership drama is unlikely to drastically alter the BoE's rate hiking path this summer.

Beyond politics, we also think Bank of England rate hike expectations look overblown. We expect one rate hike this year, but more importantly perhaps, a return to rate cuts in 2027. Once the near-term political noise has blown over, the direction for gilt yields is likely to be downwards across the medium term. We're forecasting the 10-year bond yield down to 4.5% through the middle of next year.

EUR/GBP versus 10-year gilt-bund spread



Source: Refinitiv, ING

Sterling is dragged into the sell-off

What has been noticeable over the last week is that sterling has finally been dragged into this political crisis. Up until recently, traded EUR/GBP volatility had been exceptionally low, near 4%, and the FX option market's view over its direction had not really changed much at all over the last year. Now participants in the FX options market are prepared to pay 1.1% extra for the right to buy over the right to sell EUR/GBP over the next three months. That is virtually matching last year's 'Liberation Day' highs, when global equity markets were hit hard and the growth-sensitive pound fell 5% against the euro.

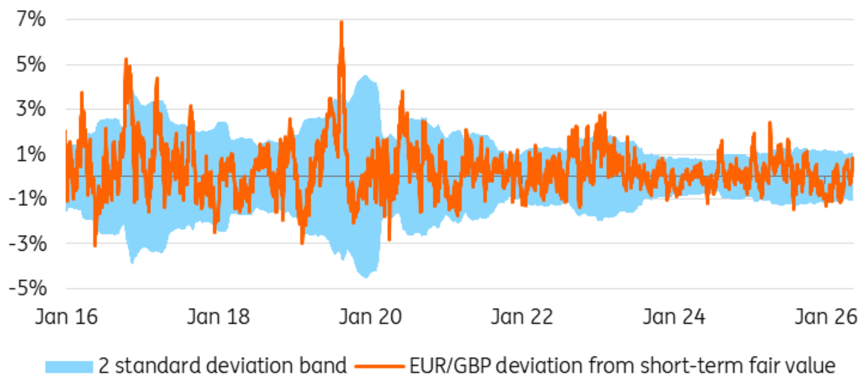
Behind that recent stability in the pound might have been the BoE's relatively high policy rate of 3.75% (helpful in a carry-seeking environment) and perhaps ongoing interest from M&A activity. Year-to-date pending and completed target acquisitions of UK companies are up over 100% this year, compared to around 20% for Europe as a whole.

Yet the focus now shifts to the long, hot summer of the Labour leadership crisis and the question is how far sterling could fall if international investors really turned bearish on the pound. Over the years, we have found our Financial Fair Value model as a useful vehicle to evaluate the size of risk premium that could emerge in EUR/GBP. The model looks at where EUR/GBP is actually trading versus where it might be trading were typical relationships with short-term rate differentials and equity performance to hold.

By our current reckoning, EUR/GBP is currently trading around 1% above fair value. As our chart below shows, EUR/GBP can trade as much as 5% over fair value in extreme conditions – such as in August 2019 when it looked like the UK would be leaving the EU without a deal. An extra 4% on EUR/GBP today warns that 0.90 is not out of the question this summer for EUR/GBP. For reference, the FX options market now attaches a 25% probability to EUR/GBP trading to 0.90 within the next three months.

Our baseline is for a slightly more modest advance in EUR/GBP to 0.88/89 in late summer – but the risks are clearly skewed to the upside.

EUR/GBP Financial Fair Value model



Source: ING calculations

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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Article | 15 May 2026 COMMODITIES, FOOD & AGRI ENERGY

Sitting, waiting, wishing... for energy flows to resume

Energy markets remain extremely sensitive to developments in the Middle East, showing the significance of the supply disruptions we are witnessing. However, there have been several factors that have helped to take some pressure off prices

With no imminent peace deal in sight, stalled Hormuz flows continue to hold Brent above $100/bbl

Falling Chinese imports and rising US exports offer relief to oil markets

It has been another volatile month in energy markets, with oil prices being whipsawed by Iran-related headlines. Cold water has been thrown over optimism for an imminent peace deal, after President Trump rejected Iran's counterproposal peace plan. And as a result, any hopes for a quick resumption in energy flows through the Strait of Hormuz have also faded, which has seen Brent trade convincingly back above $100/bbl.

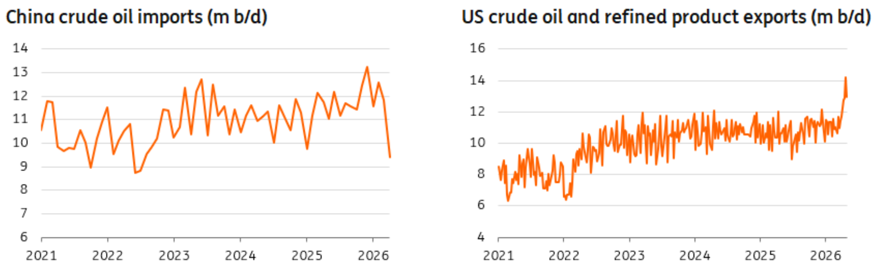
However, with the oil market facing a supply disruption of around 13m b/d, one may be surprised that we are not seeing much higher prices. There is an element of the market still clinging to some optimism that energy flows may start picking up. However, there are some fundamental factors that have also helped. Chinese oil imports have fallen significantly, while

US oil exports hit record levels consistently in April, which has helped to take some of the upward pressure off the market. But these are temporary solutions. China will be relying on inventory as imports fall, while similarly the growth in US exports is fed by inventory rather than supply growth.

Another element which has contained the market is that we have already started to see demand destruction in the oil market. Crude oil prices have not had to go as high as many would imagine to drive this decline in demand. This can be largely attributed to the relative strength seen in refined product prices (gasoline, diesel, jet fuel), reflected by the widening in refined product margins. The significant strength in refined product prices has meant that crude oil prices have not had to go as high to ensure demand destruction.

While there is still plenty of uncertainty over how the situation plays out, we are assuming some recovery in oil flows in the remainder of the second quarter, allowing for nearer to normal flows in the third quarter. Under this scenario, Brent averages $104/bbl in 2Q26 and US$92/bbl in 4Q26. Clearly, though, every day that goes by without a resolution pushes the market towards a much more aggressive scenario.

Chinese oil imports fall while US oil exports surge amid Persian Gulf supply disruptions



Source: China Customs, EIA, ING Research

Demand destruction keeps the gas market in check… for now

While European gas prices are trading above pre-Iran war levels, they have come off significantly from their peak following the start of the war. We believe that gas markets are underpricing the scale of the supply disruption. The gas market has less of a buffer to weather supply shocks, while there is little in the way of alternative routes for Persian Gulf LNG to move to its destination, other than going through the Strait of Hormuz. While ship tracking data shows that Qatar has shipped its first two LNG cargoes since the start of the war, this falls far short of normal flows.

There is not enough slack in the LNG market to offset these supply losses, so the market will have to rely on inventory and demand destruction to try to balance, which is what we have been seeing. In Asia, gas-to-coal switching is occurring within the power sector, while industrial demand is also coming under pressure. Meanwhile, relying on inventories means that buyers will have to come back to the market at a later stage to restock. The big upside risk for the market is if this restocking has to happen before energy flows through the Strait of Hormuz resume.

If we see Asian buyers coming into the spot LNG market to refill inventory/offset disrupted contracted volumes, this will increase competition between Europe and Asia for cargoes, which would push prices higher.

Gas storage in the EU is relatively tight, at 35% full compared to a five-year average of 48%. This will make the job of refilling storage tougher, especially as the TTF forward curve – currently in backwardation – does not incentivise storage. More flexibility in EU storage targets helps to take some pressure off the market heading into the 2026/27 winter. However, going into the winter with 75% full storage (which is the minimum allowed under extreme conditions) would leave the European market more vulnerable through the winter and risk higher prices.

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

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Article | 13 May 2026 BELGIUM

Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again

2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021–2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post-Covid pent-up demand. The question is: are we heading down that path again?

A quick, sharp shock

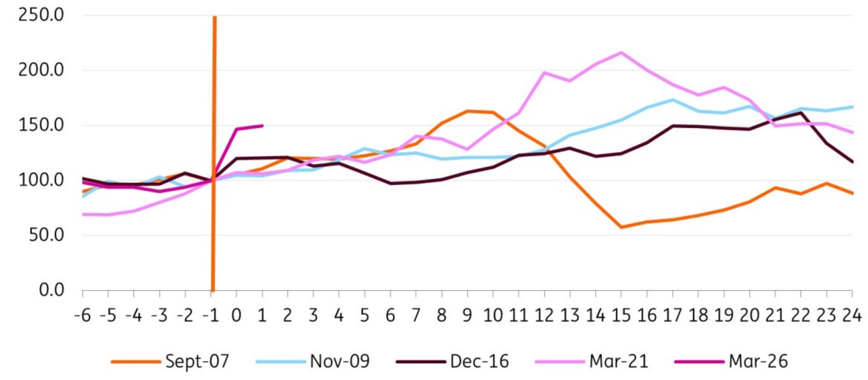
Central banks, therefore, need to track prices closely to see whether the energy shock stays contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year-on-year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around −8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass-through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

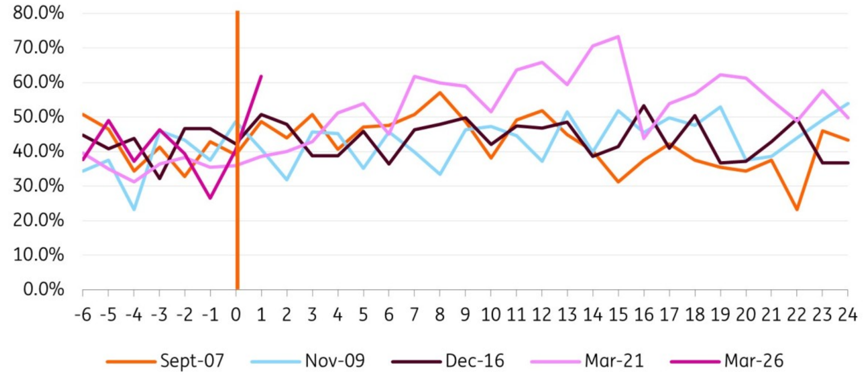
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short‑term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

Author

Philippe Ledent
Senior Economist, Belgium, Luxembourg
philippe.ledent@ing.com

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ENERGY TRANSPORT & LOGISTICS SUSTAINABILITY

Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited

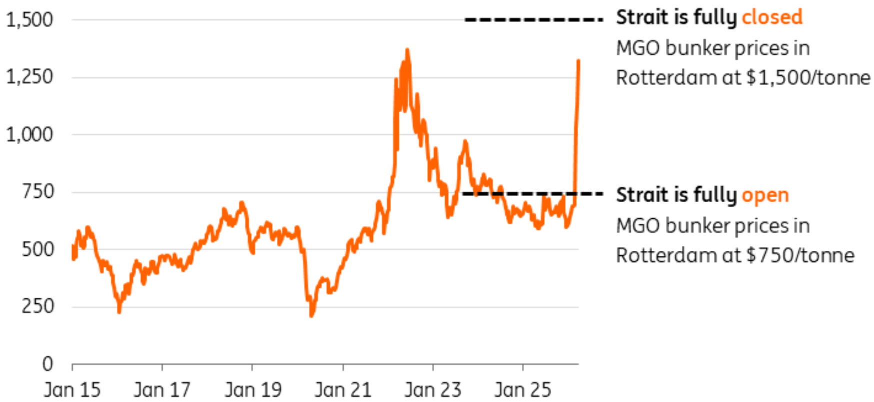
Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in $ per tonne; we'll analyse two scenarios



Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

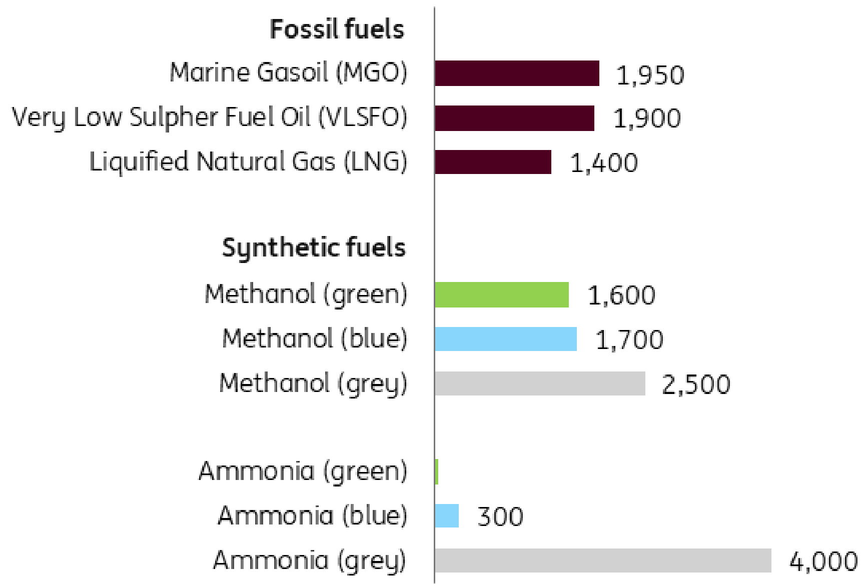
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO2 per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO2.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO2 per deadweight tonnage per 1,000 kilometres (kgCO_2/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolysers powered by low‑carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO_2, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis here. In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

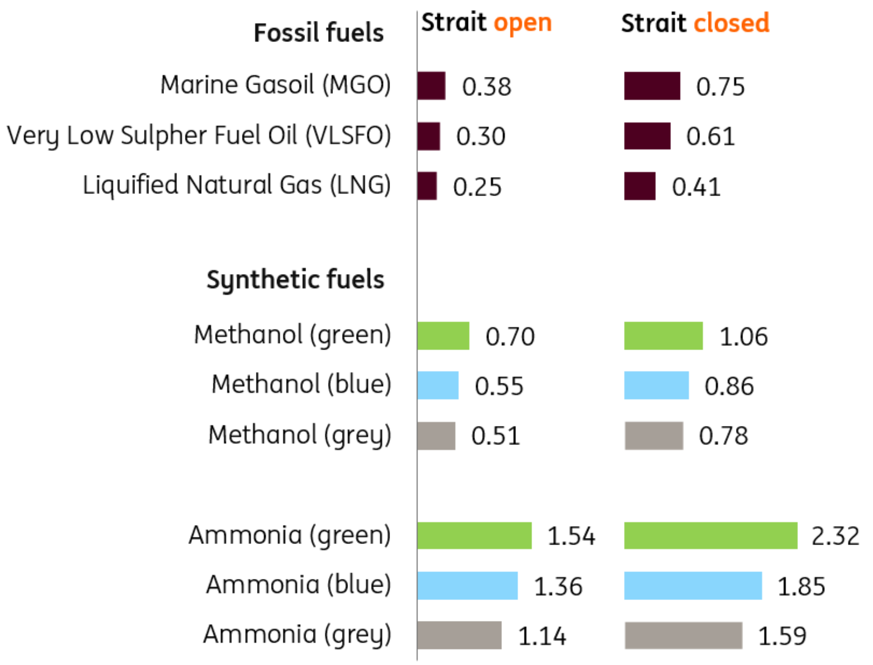
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 $/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive "available now" hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

Hormuz disruption strengthens LNG's position as synthetic fuels lag on cost

Indicative unsubsidised fuel costs in $/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer "system-wide" changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A "ready now / ready later" option exists. Orders for methanol-capable and methanol-ready dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.
4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon‑free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our earlier warning: synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

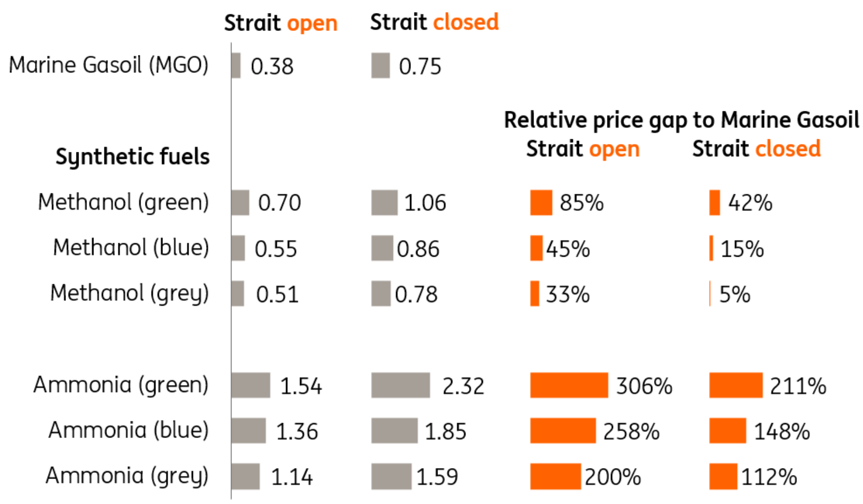
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy – rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol–oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised fuel costs in $/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still stuck in a pilot phase, blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolysers. This "blue-first, green-later" pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO2-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the "closest substitute" that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds
The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk - are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of $100 per tonne of

CO_2 for emissions within the baseline, and $380 for non-compliance (we discussed the details here). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil (MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO_2 (€/ton)	75	100
VLSFO ($/ton)	500	1,000
MGO ($/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low‑carbon electricity.

For blue production routes, a CO_2 capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO_2/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolysers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we’ve used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = $1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

Author

Gerben Hieminga
Senior Sector Economist, Energy
gerben.hieminga@ing.com

Rico Luman
Senior Sector Economist, Transport and Logistics
Rico.Luman@ing.com

Disclaimer

Article | 13 May 2026

CZECH REPUBLIC HUNGARY

Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING’s CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We’ll also be analysing the change of government in Hungary and what can be learned from Poland’s political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. Sign up here

The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING’s CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You’ll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Valentin Tataru
Chief Economist, Romania
valentin.tataru@ing.com

Peter Virovacz
Chief Economist, Hungary
peter.virovacz@ing.com

Rafal Benecki
Chief Economist, Poland
rafal.benecki@ing.pl

David Havrlant
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

Muhammet Mercan
Chief Economist, Turkey
muhammet.mercan@ingbank.com.tr

Dmitry Dolgin
Chief Economist, CIS
dmitry.dolgin@ing.de

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Disclaimer

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RATES

Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path

The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

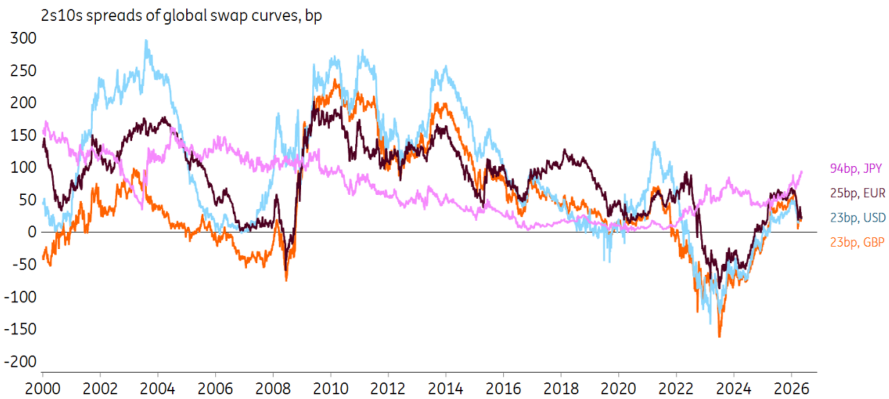
Global factors add to GBP term premium, but not entire story

The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight. The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

Global term premia are strongly correlated but domestic factors play a role too

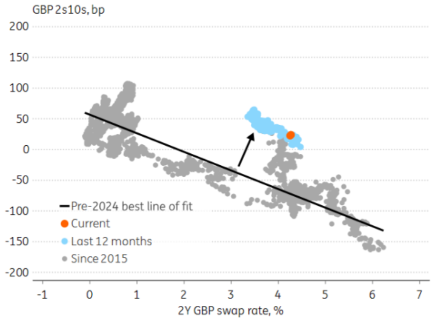


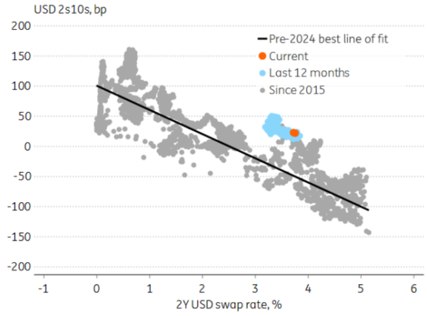
Source: ING estimates, Macrobond

Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve



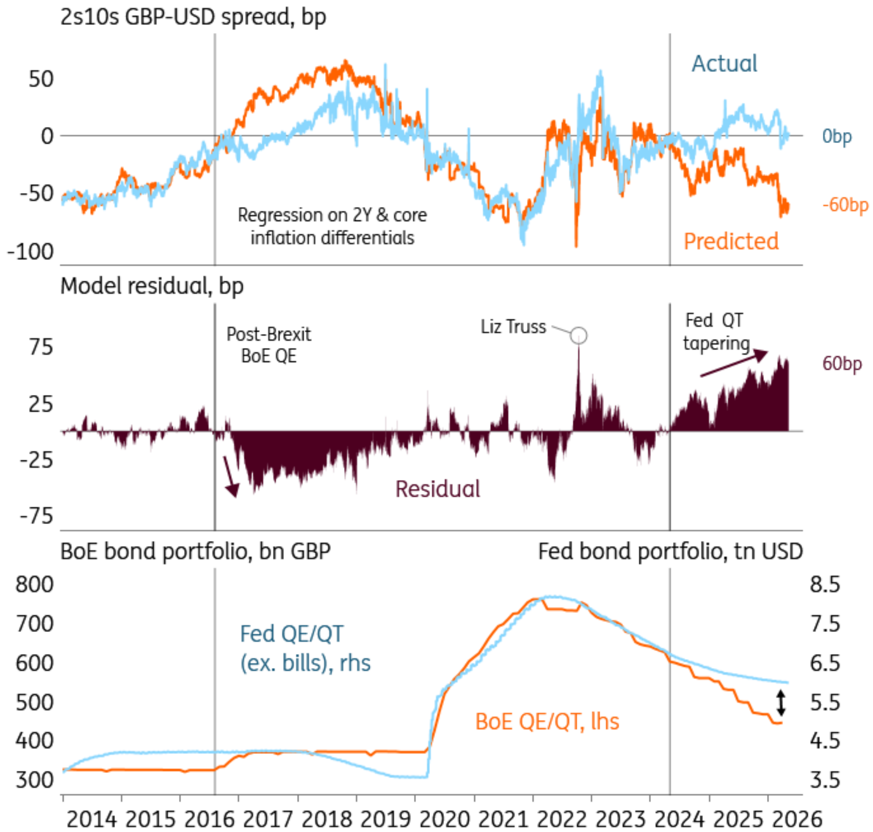


Source: ING estimates, Macrobond

We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Lizz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

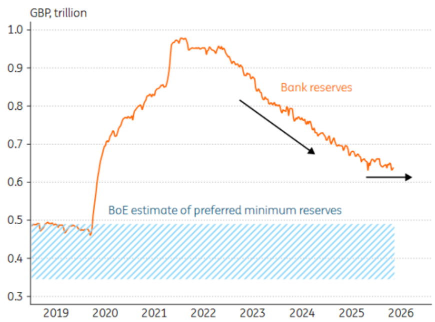


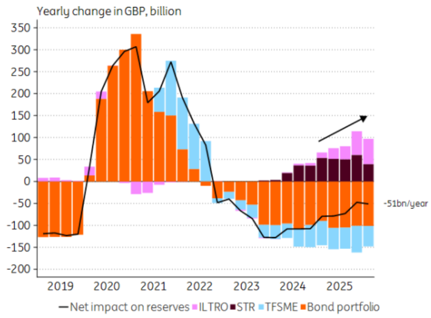
Source: ING, Macrobond

Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



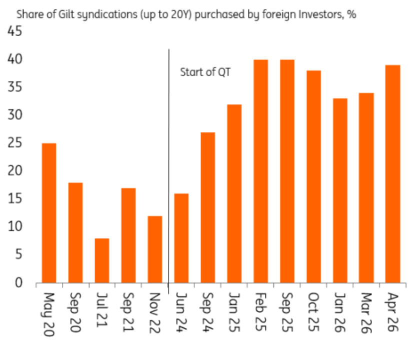


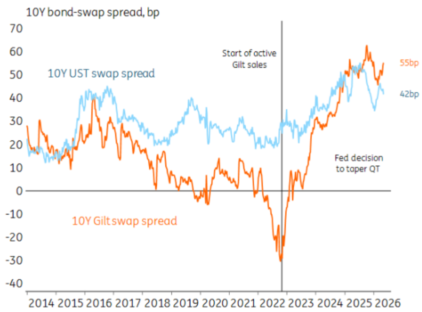
Source: ING estimates, Bank of England, Macrobond

With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields





Source: ING estimates, DMO, Macrobond

So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

Author

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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